

EVERYTHING HAS A price, and the key to a lot of things with money is just figuring out what that price is and being willing to pay it.

The problem is that the price of a lot of things is not obvious until you've experienced them firsthand, when the bill is overdue.

General Electric was the largest company in the world in 2004, worth a third of a trillion dollars. It had either been first or second each year for the previous decade, capitalism's shining example of corporate aristocracy.

Then everything fell to pieces.

The 2008 financial crisis sent GE's financing division—which supplied more than half the company's profits—into chaos. It was eventually sold for scrap. Subsequent bets in oil and energy were disasters, resulting in billions in writeoffs. GE stock fell from \$40 in 2007 to \$7 by 2018.

Blame placed on CEO Jeff Immelt—who ran the company since 2001—was immediate and harsh. He was criticized for his leadership, his acquisitions, cutting the dividend, laying off workers and—of course—the plunging stock price. Rightly so: those rewarded with dynastic wealth when times are good hold the burden of responsibility when the tide goes out. He stepped down in 2017.

But Immelt said something insightful on his way out.

Responding to critics who said his actions were wrong and what he should have done was obvious, Immelt told his successor, "Every job looks easy when you're not the one doing it."

Every job looks easy when you're not the one doing it because the challenges faced by someone in the arena are often invisible to those in the crowd.

Dealing with the conflicting demands of sprawling bloat, short-term investors, regulators, unions, and entrenched bureaucracy is not only hard to do, but it's hard to even recognize the severity of the problems until you're the one dealing with them. Immelt's successor, who lasted 14 months, learned this as well.

Most things are harder in practice than they are in theory. Sometimes this is because we're overconfident. More often it's because we're not good at